# DRIVING A SUSTAINABLE future by creating shared value

True north consultants

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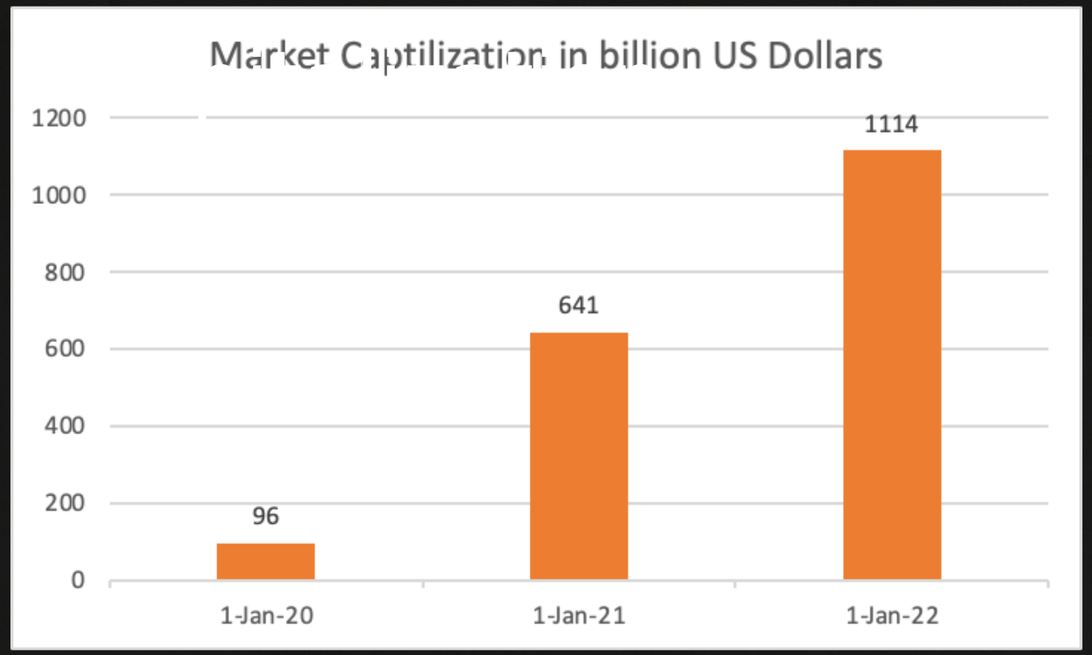
# Tesla is the global leader in automotive

## Core business 1 - Automotive

Tesla is worth as much as the next

Tesla's market




most valuable global automakers

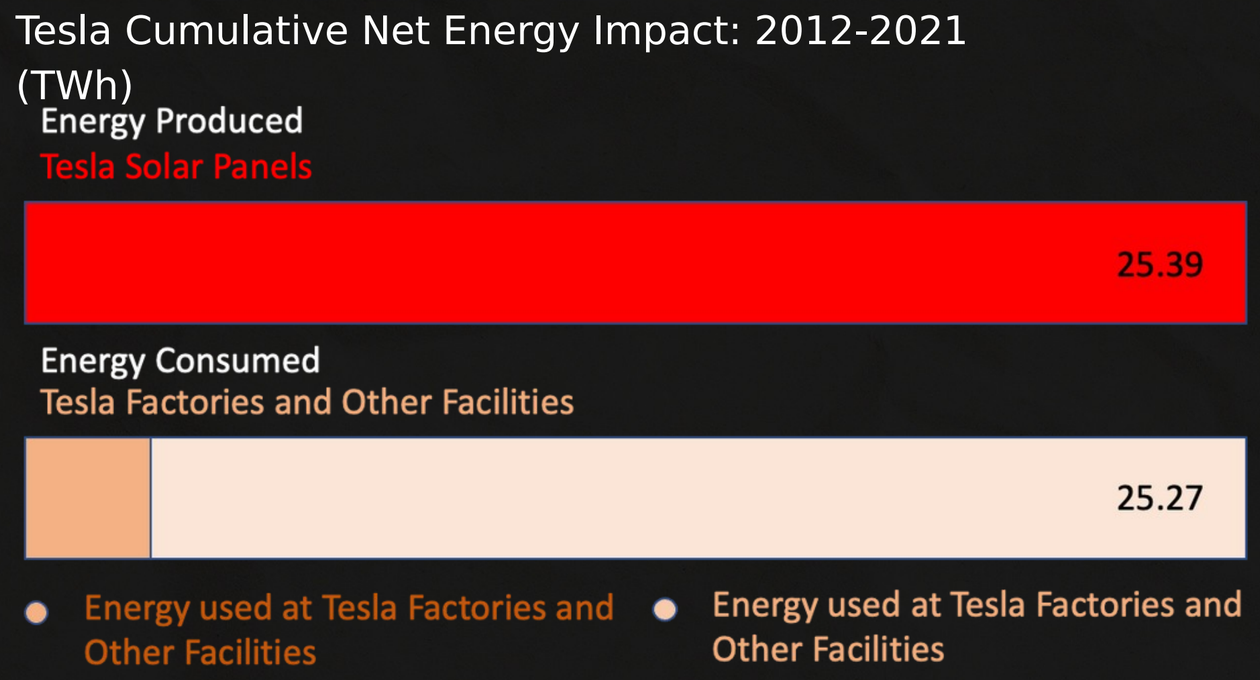
10

combined

# Energy storage and solar businesses are growing rapidly

## Core business 2 - Energy Generation and Storage

Solar Megapack Powerwall




- $801 million in revenue from its energy generation and storage business
- Megapack and the Powerwall both exceed supply
- More Energy Generation Than Consumption

# ESG, Transparency, IS Tesla sustainable EnouGH?

## factory in China & INDIA?

China and India relies heavily on coal, a lot of electricity is generated by coal, the production and operation of electric cars is much more harmful.

## lack of transparency

Tesla does not report enough details about
the production of its vehicles
the sourcing of its products

## Being Booted From The ESG Index?

S&P Global boot Tesla from the S&P 500 ESG Index, citing Tesla’s

- Weak handling of a federal investigation into multiple deaths linked to its self-driving cars
- Claims of racial discrimination
- Poor working conditions at its factory.

## Raw materials inefficient use

40% of its purchases of raw materials being scrapped.

# sustainable lifestyle, government push and market demand have set the stage for EVs to take over the automotive industry

## S

**SOCIAL**

**Focus on sustainable lifestyle**

**39%**

of the customers in the US market prefer EV vehicles. There has also been an increased awareness on carbon neutral lifestyles and increased preference for renewable energy sources.

## T

**TECHNOLOGICAL**

**Automation is the future**

**70%**

of organizations are expected to implement automation by 2025. New innovations in solar energy in terms of storage and production.

## E

**ECONOMIC**

**Growing EV market**

**$287 Billion**

is the worth of the EV market in the US and is projected to grow at CAGR of 24.3% from 2021-2028 and is expected to reach $1318 billion. The EV charging industry is also growing massively at $18 billion market size.

## E

**ENVIRONMENTAL**

**Global warming concern**

**5-9 tons**

of GHG is produced for each gallon of gasoline burnt per vehicle per year resulting in greater concern for global warming.
Increased focus on efficient waste disposal methods.

## P

**POLITICAL**

**Support from Government**

**$7.5 Billion**

funding will be provided by the federal government of US to assist companies in establishing EV infrastructure. CARB said it would require all new vehicles sold in California by 2035 to be electric or plug-in hybrid electrics (PHEVs).

DEVELOPMENT OF 100% RECYCLED BATTERY

APPROVAL OF AUTONOMOUS VEHICLES

| | |
|---|---|
| Approval of Autonomous Vehicles + Running on 100% Recycled Batterries | Autonomous Vehicles not approved + Running on 100% Recycled Batteries |
| Best possible case for Tesla- to stick it's core strength and roll out autonomous vehicles into the market that are running on 100% recycled batteries. | Tesla focusing on AV to be accident proof while being capable of sensing the environment. traffic enforcement, insurance, registration, licensing and more |
| Approval of Autonomous Vehicles + Lack of development in Batteries | Autonomous vehicles not approved + Lack of development in Batteries |
| Tesla can roll out autonomous vehicles into the market and switch towards optimizing energy from renewable sources and increasing energy | Tesla can shift towards optimizing and increasing efficiency of energy from renewable sources and ensure rigorous testing for autonomous vehicles to emerge as innovative leader within this space with proof of safety compliance. |

# regardless of hardships, Tesla sHows no sign of slowing down

reducing risks, capturing untapped market and partnership is the key to success

## D

- Consumer demand fueling the growth of EVs
- Changing consumer sentiment
- Availability and affordability of models
- Policy and legislation

## O

- Perfect timing in a specific niche
- Ownership benefit inclusion
- Targeting Untapped ev market
- All fuel stations to have an EV charging point

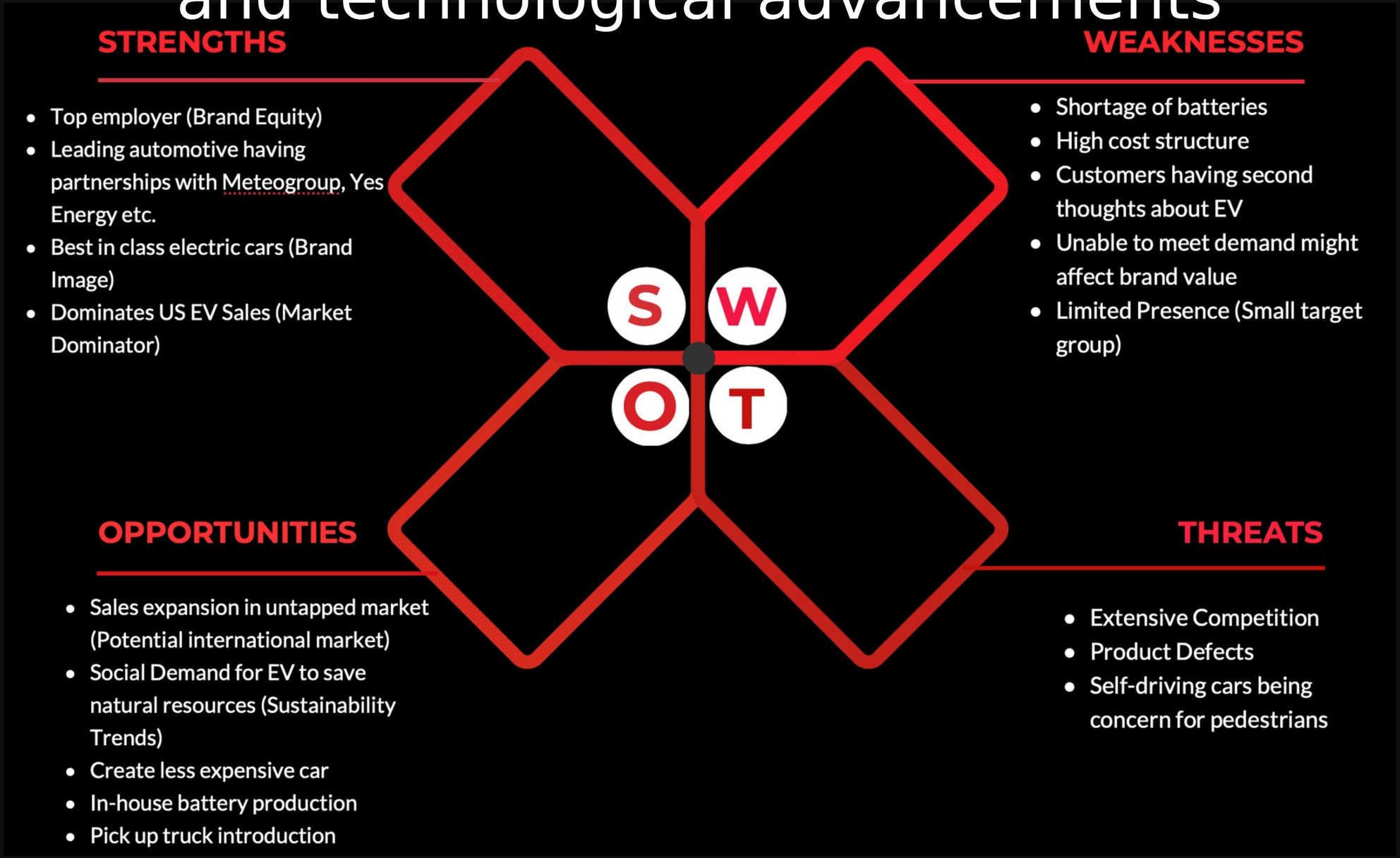
## T

- A growing number of big-name competition
- Changing consumer sentiment
- A debt that just won’t quit
- EV risk
- Chip shortage

## S

- Strengthen its core competencies
- Improving company policies while increasing brand loyalty
- Expand its existing capabilities
- Pave the path for a sustainable future
- Create shared value ecosystem

# Tesla is a well-known brand thanks to market demand and technological advancements



# TESLA CAN USE ITS VALUE PROPOSITION TO IMPROVE ITS INTERNAL POLICIES AND EXPAND THE BUSINESS MODEL CANVAS TO ADD VALUE FOR OTHERS

## BUSINESS MODEL CANVAS (Tesla)

### Key Partners

- **OEM Alliances**
- Manufacturing and Purchasing (Toyota)
- Car Leasing Company
- Major Suppliers
- Dana Holding
- Panasonic
- Government

### Key Activities

- R&D
- Design
- Innovational Leap
- Software Development
- Sales & Marketing
- Building & Maintenance of Charging Stations Network

### Key Resources

- Electric Vehicle and Technological Knowledge
- Inverter
- Battery System
- Effective Cooling
- Automation & Engineering

### Value Propositions

- **Best in class – Fully electric vehicles (EVs)**
- Advanced Electric Vehicle Technology
- Solar Energy Systems

### Customer Relationships

- Customer Service Experience
- Brand
- Reputation
- Free/low-cost charging station network

### Channels

- Retail stores & galleries Partner Channel
- Self Service online store (website)
- Conferences & sales events

### Customer Segments

- High-end Luxury (Sedan or SUV)
- Mid – price range
- Commercial Vehicles – targeted towards transportation and shipping businesses
- Green Community
- Fast sports car enthusiast
- Autopilot
- Tesla Followers
- Elon Musk Followers

### Cost Structure

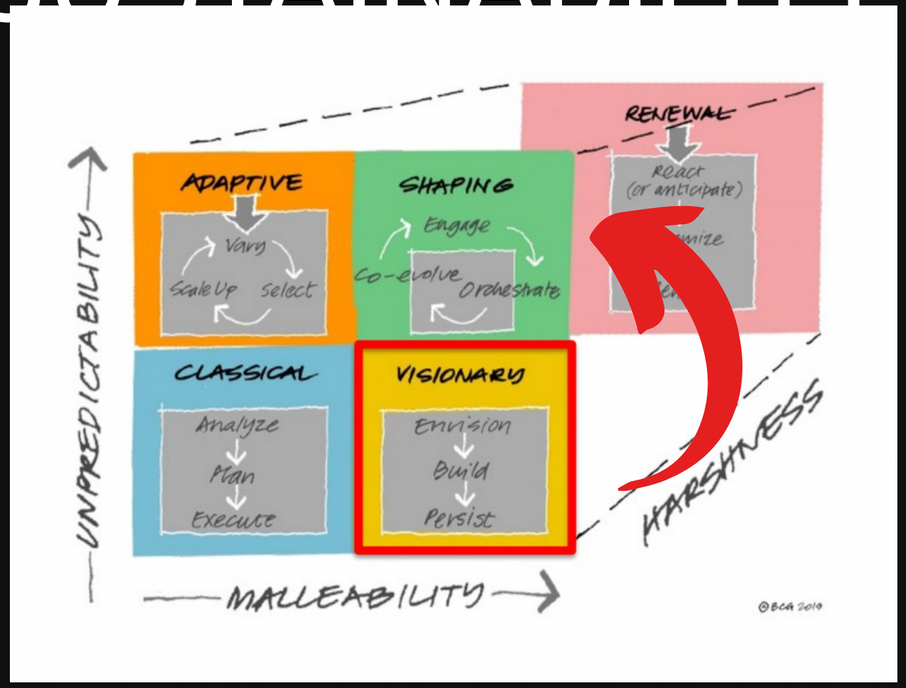
- Cost of material, labor & manufacturing overhead (COGS)
- Selling, general & administrative Cost
- Research & development Cost
- Restructuring Cost
- Interest expense, taxes and others

### Revenue Streams

- Automotive Segment revenue
- Energy generation & storage segment

Business Strategy Hub

# TESLA SHOULD JUMP FROM VISIONARY TO BECOMING AN ORCHESTRATOR TO CREATE SHARED VALUE AND SCORE SUSTAINABILITY POINTS




CO-EVOLVING BY POSITIVELY IMPACTING SURROUNDINGS

ENGAGING EMPLOYEES AND CUSTOMERS THROUGH ESG

ORCHESTRATING BETTER OFFERINGS

UNPREDICTABILITY: HIGH

MALLEABILITY: HIGH

HARSHNESS: LOW

# STAGING GROWTH AND INNOVATION TO SUSTAINABLY CREATE SHARED VALUE

*New Market*

## Horizon 3

10%

- First-to-market Electric Planes/Flying Cars/Robo Taxi
- Focusing on Tesla Optimus- expanding to other industries to automate processes
- Building Cleaner Sustainable EV's
- Shift from batteries to renewable energy sources

*Existing Market that isn't being served*

## Horizon 2

20%

- B2B: One Stop EV Auto-Insurance
- Develop autonomous EV public transportation
- Expansion of sustainable energy globally

*Existing market that Tesla currently serves*

## Horizon 1

- Improving company policies -> Lowering ESG Risk Rating
- Addressing Pain Points with existing technology
- Research Optimization of Solar Energy
- Invest in Sustainable Alternatives to build future EV

70%

**0-12 months**

*Improvements to company, existing technologies and Addressing Pain Points*

**12-24 months**

*Focusing on collaborations and creating shared value*

**24-48 months**

*Exploration with new technologies*

# STRENGTHENING THE CORE by addressing company policies, IMPROVING TECHNOLOGY AND INVESTING IN SUSTAINABLE ALTERNATIVES

1

Improving Company Policies

- Increase gender and racial diversity and provide mandatory workshops
- Supporting more social good causes aligned with UN Sustainability Goals
- Implementing ESG principles

2

Addressing Pain Points with Existing Technology

- Increase and optimize battery range
- Improve and Increase access to charging
- Eliminate the risk of spontaneous battery combustion
- Rigorous testing of driver-assistance programs

3

Research Optimization of Solar Energy

- Increasing energy conversion efficiency
- Optimizing energy harnessed and stored and integrating this directly into their EV's as backup storage

4

Invest in Sustainable Alternatives to build future EV

- Exploring Cellulose fibers as a replacement for steel
  - 1/5th of the weight of steel, 5x stronger
  - Promising applications
- Using Recyclable Plastic for EV interior
- Making sustainable alternatives viable

# TESLA'S PATH TO LOWERING ESG RISK RATING

## Diversity, Equity and Inclusivity

- Recruiting efforts to increase gender and racial diversity
- Mandatory Employee Training with DEI Workshops

## Safety and well-being

- Improvement of working Conditions at Factories
- Rigorous testing of driver-assistance systems
- Implementing user training on driver-assistance systems to increase market adoption and lower risks

## Environmental, Social and Governance Principles

- Integrate ESG principles into growth strategy
- Increasing transparency and regularly disclosing Tesla's activities
- Promoting ethics and integrity

## Management Development

- Establish governance committee to regulate and address ESG risks
- Maintain supplier code of conduct to set expectations of governance and responsibility

How our strategy and sustainability priorities align with the United Nations Sustainable Development Goals

# EXPANSION OF EXISTING CAPABILITIES



## 1 B2B Auto insurance:

- Using its data pool of driving behavior and characteristics, it can offer personalized auto insurance with plug in device and disrupt the existing industry
- Aim to be one-stop Auto insurance provider for personal and fleet-owned electric vehicles

## 2 Expand Energy Business:

- Expansion of sustainable energy to countries utilizing coal power. Develop charging infrastructure in these countries before entering with EVs.
- Take existing product global: make energy transitions by the expansion of solar, Megapack, and Powerwall.

## 3 Public/Business Transportation:

Expand from private vehicles to autonomous public/business transportation

- Bus: Start with 5-7 major cities in the U.S. that rely on public transport heavily (New York, San Francisco, Boston, Washington DC, Chicago...)
- Supply Chain Vehicles: partner with business heavily rely on supply chain. (Amazon, UPS...)
- Car-sharing & Taxis: partner with uber/ Lyft for autonomous driving & car sharing.
    - Lyft’s commitment for 2030 is to reach 100% electric vehicles on the lyft platform

# Pave the path for a sustainable future while developing new Capabilities

1

Industrialization 5.0

- Build advanced robots and deploy them in manufacturing, defense, and non-life-threatening workplaces
- Bring Optimus to market and use it to perform tasks in a factory or office setting, that are repetitive, boring and labor-extensive

2

Robo Taxi, Flying Cars?

- Use advanced FSD capabilities to foray into RoboTaxi and Level 4 AV
- Be Visionary and define the next big move in the automotive

Flying Cars? Teleportation? Hyperloop?

3

Building Cleaner Sustainable EVs

- Implementing Cellulose Fibers for outer-build
- 100% recyclable plastic and bio-based materials for interior-build
- Invest in developing rare-earth mineral free electric engines (Euclid)

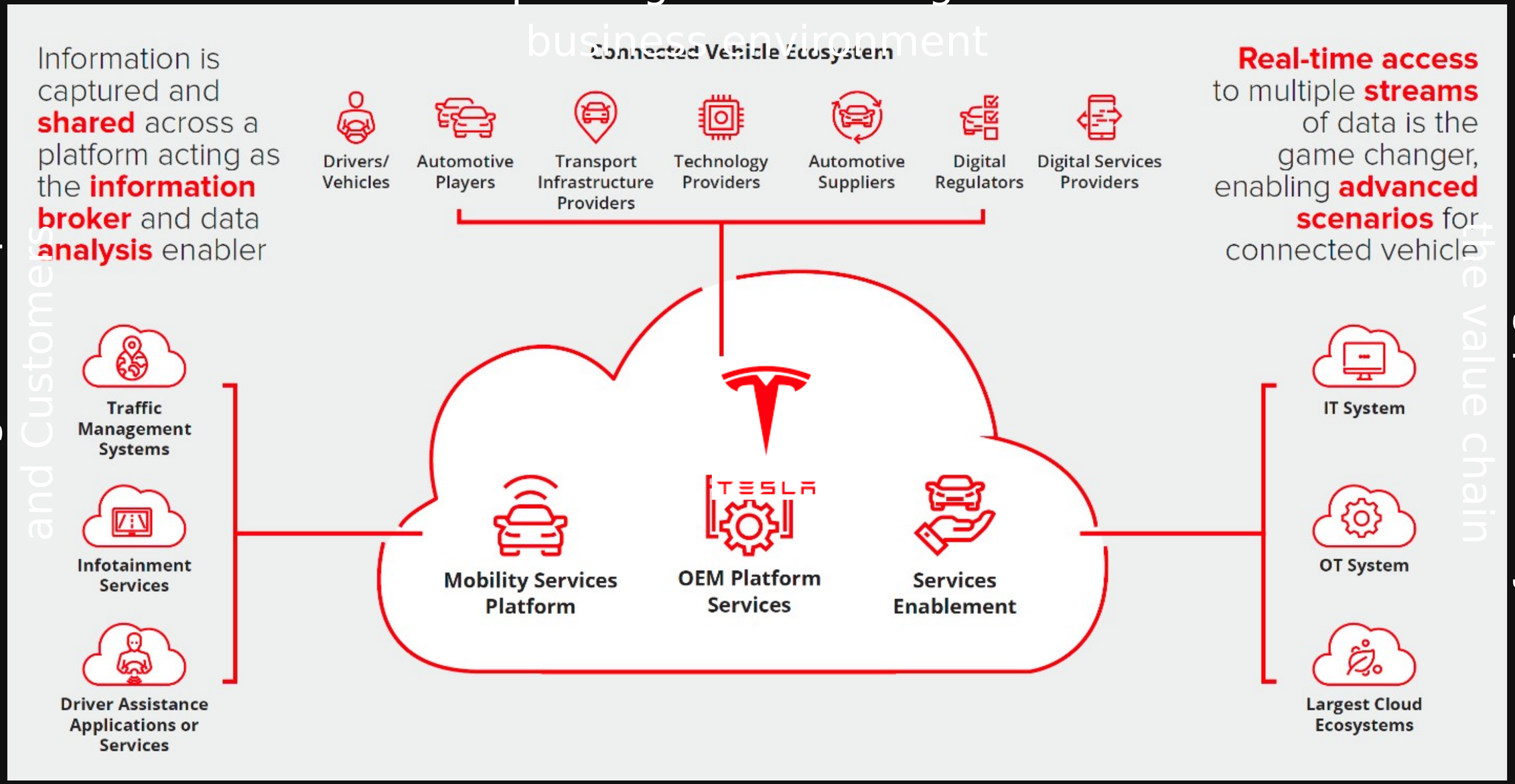
4

Thinking beyond Coal

- Increasing energy conversion efficiency from renewable sources
- Running on 100% Renewable Sources of Energy
- Explore and invest in alternative options to generate electricity

Improving local and regional business environment

Reconceiving needs, products and Customers




Redefining productivity in the value chain

# Tesla redefining the Automotive arena and Creating Shared Value

TEsla will own the next generation of data-

# THANK YOU